



PAPER – 5: AUDITING AND ETHICS



QUESTIONS

PART – I: Multiple Choice Questions based on Case Scenarios

Case Scenario

Aditya & Co. LLP are the statutory auditors of Benuka Furniture Ltd., a company engaged in the manufacture of wide range of office furniture that suits various workspaces ranging from home offices to corporate environments. The audit team is headed by CA Aditya, being the engagement partner who is further assisted by 2 articled assistants namely Rohit and Mudit. Before starting the audit work of the company, CA Aditya briefed the engagement team about the client's business, the various audit procedures the team can perform and the Standard on Auditing that the team needs to be complied with while conducting the audit of this company. While such discussions were going on, Mudit showed no inclination towards understanding the business and business environment of the company. He was of the view that as a member of the audit team he needs to obtain an understanding about the audit procedures to be performed during the course of audit and not about the client's business.

Rohit was asked by CA Aditya to verify the trade receivables, loan and advances given by the company, amounting to ₹ 20 crore and ₹ 20 lakhs respectively. Rohit asked the concerned official of the company to provide him with the ageing of trade receivables. Rohit decided to send confirmation requests to debtors having balance as on the balance sheet date exceeding ₹ 5 lakhs. He further decided to request to the third party in the request letters to reply positively whether the balance in their books tallies with the balance mentioned in the request letters. Also, while verifying the balance of

loans and advances given by the company, Rohit selected the sample for checking without following any structured approach though he made sure to avoid any conscious biasness or predictability. Thus, he made sure that all the individual balances constituting the total of loans and advances given by the company had a chance of selection.

While checking the balances of fixed assets, Mudit asked the concerned employee of the company to provide him with various documents related to all the fixed assets appearing as on the balance sheet date. He asked for the title deeds with respect to the building owned by the company and the purchase bills for assets purchased by the company. While asking for such documents from the client company, Mudit was of the view that as a member of the audit team he can force the employee of the company to provide him with the required documents.

Further with respect to the inventory of the company, Mudit performed the audit procedures to verify that any inventory balance as at the year end does not include any element of next financial year.

Based on the above facts, answer the following MCQs:

1. Whether the view of Mudit regarding obtaining understanding of the client business is correct:
 - (a) The view of Mudit is correct because as a member of the audit team, he needs an understanding only about the audit procedures to be performed by him.
 - (b) The view of Mudit is not correct because while conducting an audit, the understanding of business and business environment of the client whose audit is to be conducted is very important.
 - (c) The view of Mudit is partially correct because such understanding is required only for the engagement partner and not be the members of the audit team.
 - (d) The view of Mudit is not correct because such information forms a crucial part of the audit report to be issued at the end of the audit process.

2. What kind of confirmation requests Rohit decided to send the debtors for verification of balances of trade receivables?
 - (a) Negative confirmation.
 - (b) Positive confirmation.
 - (c) Exception letter.
 - (d) Written Representation.
3. Which sample selection methods has been opted by Rohit while verifying the loans and advances given by the company?
 - (a) Interval Sampling.
 - (b) Block Sampling.
 - (c) Haphazard Sampling.
 - (d) Monetary Unit Sampling.
4. While verifying the inventory of the client company, which assertion is being verified by Mudit?
 - (a) Cut Off assertion.
 - (b) Valuation assertion.
 - (c) Presentation & Disclosure assertion.
 - (d) Rights & Obligations assertion.
5. With respect to fixed assets, which assertion does Mudit want to check.
 - (a) Valuation assertion.
 - (b) Presentation and Disclosure assertion.
 - (c) Rights and obligations assertion.
 - (d) Existence assertion.

General MCQs

6. CA Rocky is a recently qualified Chartered Accountant. He is appointed as an auditor of Sky Ltd. for the current Financial Year 2023-24. CA Rocky is of the view that he shall record all the matters related to audit i.e., audit procedures to be performed, audit evidence obtained

and conclusions reached. Thus, he maintained a file and recorded each and every finding during the audit. His audit file, also includes audit programmes, notes reflecting preliminary thinking, letters of confirmation, e-mails concerning significant matters, etc. State which of the following need not be included in the audit documentation?

- (a) Audit programmes.
 - (b) E-mails concerning significant matters.
 - (c) Letters of confirmation.
 - (d) Notes reflecting preliminary thinking.
7. CA Ramesh has been the auditor of XYZ Ltd. for the past 10 years. Over these years, he has built a personal relationship with Mr. Rajan, CEO of the company. During the audit, CA Ramesh discovers several discrepancies, but he feels uncomfortable reporting these issues due to his personal relationship with Mr. Rajan. He has also accepted gifts from the company on several occasions. As a result, CA Ramesh is concerned about the impact of his long-standing relationship with Mr. Rajan on the audit report. Which threat to independence exists in the given case?
- (a) Self-interest threat.
 - (b) Familiarity threat.
 - (c) Self-review threat.
 - (d) Advocacy threat.
8. CA Paras is auditing a firm's financial statements and performs detailed procedures to verify assertions. The firm is engaged in export of goods to Europe. The sales invoices raised in Euros are converted into Indian rupees as per applicable norms. He checks classification of expenses, ensures trade payables are genuine, compares current and past wages, examines title deeds for land, and check the accuracy of calculation of the conversion of foreign currency into Indian rupees for export invoices. Which audit procedure he performed to verify whether conversion of foreign currency into Indian rupees is proper or not?
- (a) Inspection.
 - (b) Recalculation.

- (c) Observation.
- (d) Reperformance.

PART II – Descriptive Questions**Chapter 1 - Nature, Objective and Scope of Audit**

9. XYZ Ltd., a manufacturing company based in India, operates multiple plants across the country and deals in complex machinery, which requires specialized maintenance and valuation expertise. XYZ Ltd. appointed CA Dhruv as Statutory auditor. During the audit, he observed that the management consistently applied the same method for valuation of inventory over the past few years, but this year, without proper disclosure, they switched to a different valuation method, which resulted in higher reported profits. Does such a matter fall within scope of audit?

Chapter 2 - Audit Strategy, Audit Planning and Audit Programme

10. ATL Pvt. Ltd., a leading manufacturing company, appointed CA Atul as an auditor for the year 2023-24. Given the complexity of the company's operations and the need for a systematic approach, he plans to design a detailed audit programme to ensure the accuracy of financial assertions. As a CA student, if you were assisting CA Atul in constructing this audit programme, what are the points you will keep in mind?

Chapter 3 - Risk Assessment and Internal Control

11. In an automated environment, General IT controls are policies and procedures that relate to many applications and support the effective functioning of application controls. It includes access security as well as program change. What are the objectives and activities included in access security and program change?

Chapter 4 - Audit Evidence

12. Grape Limited presented its financial statements for the F.Y. 2023-24 to its auditor for expressing an opinion thereon. The auditor while carrying out the audit started comparing various items of profit and loss account of the year under audit with previous financial years. What is auditor trying to achieve by carrying out those comparisons?

Chapter 5 - Audit of Items of Financial Statements

13. CA Tripti is in midst of conducting audit of a company engaged in manufacturing of range of bicycles in an industrial township located in a North Indian state. As part of its activities, the company procures bicycle components from various small and medium sized enterprises. Besides, company imports few bicycle components from China on credit terms. The auditor notices that company has huge trade payables reflected in its financial statements. He wants to be sure that all trade payables reflected in financial statements have been valued appropriately. Suggest few audit procedures to be performed in this respect.

Chapter 6 - Audit Documentation

14. CA Piku has prepared audit documentation of an entity describing nature, timing and extent of audit procedures performed during the course of audit. In documenting nature, time and extent of audit procedures performed, which matters shall be recorded? He is also of the view that such documentation alone as described above meets requirements of Standards on Auditing. Comment upon validity of his views.

Chapter 7 - Completion and Review

15. On reviewing internal control over inventories as part of statutory audit of a company, auditor finds that physical verification is not being conducted at regular intervals as stipulated by the management. The auditor finds it to be significant deficiency in internal control over inventories.

He points it out to the management in a one-liner as under: -

"Physical verification of inventories is not being conducted at regular intervals as stipulated by management."

Is above communication by auditor proper? Ignore statutory reporting requirements, if any in this regard.

Chapter 8 - Audit Report

16. As per SA 701, the objectives of the auditor are to determine key audit matters and having formed an opinion on the financial statements,

communicate those matters by describing them in the auditor's report. Which factors are taken into account by auditor while determining Key Audit Matters? How Key Audit Matters are communicated in audit report?

Chapter 9 - Special Features of Audit of Different Type of Entities

17. A government department has been allocated a budget for infrastructure development. During the audit, the auditor observes the following:
- (i) Some payments were processed without proper approval from the competent authority.
 - (ii) A large-scale project was implemented, but no assessment has been made regarding the expected benefits were achieved or not.
 - (iii) Funds were utilised from an account for which no budgetary provision was made.
 - (iv) Certain expenditures were made without following the prescribed financial regulations.
 - (v) There were instances of unnecessary spending that did not align with financial propriety.

Identify the different types of audits applicable to each of these observations.

Chapter 10 - Audit of Banks

18. While conducting the statutory audit of a large branch of KNB Bank for the year 2023-24, CA Hema observed that Profit and Loss account of branch reflects interest income of ₹ 80 crores and other income of ₹ 5 crores. She also noticed that few borrower accounts at branch have slipped into NPA category in past periods as well as in current year. Which audit procedures should be performed by her to verify reversal of income in the books of branch?
19. CBC Bank Ltd. has multiple loan accounts classified as Non-Performing Assets (NPAs). During the financial year, some borrowers made partial payments towards their outstanding dues. However, there was no explicit agreement between the bank and the borrowers regarding the

appropriation of these recoveries i.e., whether they should be adjusted against principal or interest.

The bank's finance team decided to recognise the recovered amount as interest income in its financial statements. However, during the statutory audit, the auditors raised concerns about the treatment of these recoveries.

Discuss the appropriate accounting treatment of partial recoveries in NPAs. Also, explain the principles that banks should follow in recognising interest income from NPAs.

Chapter 11 - Ethics and Terms of Audit Engagements

20. CA Puneet is appointed as an auditor of Kamla Limited for the F.Y. 2023-24. The management of Kamla Limited has requested the auditor to change the terms of original engagement as the company has diversified its business and a few new products have been introduced by the company. Whether CA Puneet can agree to the request made by the management? Under which circumstances can the client make a request to the auditor for a change in the terms of engagement?